

Part A: Accounting for Partnership Firms and Companies

1. Fundamentals of Partnership

1. A, B, and C share profits in 5:3:2 ratio. Their capitals are ₹2,00,000, ₹1,50,000, and ₹1,00,000. Interest on capital is 10% p.a., and the firm earned a net profit of ₹80,000. Distribute the profit.
2. X and Y share profits in 2:3 ratio. Y is entitled to a salary of ₹5,000 per month and interest on capital at 8% p.a.. X's capital is ₹2,50,000, and Y's capital is ₹1,50,000. The firm's net profit is ₹75,000 before adjustments. Show the profit distribution.
3. M and N are partners in a firm. N withdrew ₹4,000 at the beginning of every month during the year. Calculate interest on drawings at 10% p.a. using the product method.
4. A firm allows 12% p.a. interest on capital, but the firm incurred a net loss of ₹10,000. Will interest be provided? Justify with calculations.
5. P, Q, and R have fluctuating capital accounts. At the end of the year, P's capital decreased by ₹15,000, while Q and R's capital increased. Provide possible reasons.

2. Change in Profit Sharing Ratio

6. A, B, and C share profits in 2:2:1 ratio. They decide to change it to 3:1:1. The firm has a General Reserve of ₹1,50,000. How will this be adjusted?
7. X, Y, and Z share profits in 5:3:2. They decide to change their ratio to 4:4:2. The firm has a workmen's compensation reserve of ₹50,000, out of which ₹30,000 is a liability. Show the necessary journal entries.
8. P and Q share profits in 3:2 ratio. They decide to change it to 5:3. The firm has a revaluation loss of ₹20,000. Show how it will be adjusted.
9. M, N, and O share profits in 4:3:2. M sacrifices $\frac{1}{5}$ th of his share, and N sacrifices $\frac{1}{10}$ th of his share in favor of O. Find the new ratio.
10. X and Y share profits in 3:2 ratio. Y agrees to sacrifice $\frac{1}{5}$ th of his share for Z. What is the new profit-sharing ratio?

3. Admission of a Partner

11. A and B are partners with capitals of ₹80,000 and ₹60,000. They admit C with $\frac{1}{4}$ th share, who brings ₹50,000 as capital but no goodwill in cash. Adjust goodwill.
12. A new partner, D, is admitted for $\frac{1}{6}$ th share in profits. The existing partners agree to adjust goodwill in their capital accounts. The goodwill of the firm is ₹1,20,000. Pass the necessary journal entries.
13. P and Q share profits in 3:2 ratio. They admit R, who brings ₹60,000 as capital and goodwill is valued at ₹30,000. The new ratio is 5:3:2. Show the capital adjustments.
14. A firm's revaluation account shows a loss of ₹15,000 on admission. How will it be adjusted among partners?
15. The capital accounts of X and Y show a debit balance after admission of Z. What are the possible reasons?

4. Retirement and Death of a Partner

16. A, B, and C share profits in 4:3:2. A retires, and the remaining partners agree to share profits in 3:2. The firm's goodwill is ₹1,20,000. Pass necessary journal entries.
17. X's capital is ₹2,00,000, and he retires. He is paid ₹80,000 immediately, and the balance is transferred to his loan account. Pass the journal entry.
18. P, Q, and R share profits in 5:3:2. P dies on March 31. His share of profit for the year is ₹25,000. Pass the necessary journal entry.
19. X retires from a firm, leaving behind loan and capital balances. How can the firm adjust his dues without external funds?
20. A retired partner's capital account shows a debit balance. What does this indicate?

5. Dissolution of a Firm

21. A firm is dissolved, and the partner's loan remains unpaid. How will it be treated?
22. A firm's assets are sold for ₹1,50,000, but liabilities worth ₹40,000 remain unpaid. How will the balance be settled?
23. On dissolution, partner A has capital of ₹70,000 and owes ₹30,000 to the firm. How will it be adjusted?
24. The realization expenses were ₹8,000, but one partner agreed to bear them personally. What entry will be passed?
25. The firm has a contingent liability for which no provision was made. How will it be adjusted during dissolution?

Part B: Analysis of Financial Statements

6. Cash Flow Statement

26. A company purchases land worth ₹5,00,000. How will it be classified in the cash flow statement?
27. A firm issued ₹2,00,000 worth of debentures for cash. Under which activity will this be recorded?
28. Depreciation is added back to net profit in the cash flow statement. Why?
29. A company redeems preference shares for ₹3,00,000. Under which category does it fall in the cash flow statement?
30. A company's cash flow from financing activities is negative, but net cash flow is positive. What does this indicate?

7. Company Accounts – Issue of Shares & Debentures

31. A company issues 10,000 shares at ₹100 each, payable in three installments. The first call is unpaid by some shareholders. How will it be recorded?
32. A shareholder fails to pay the final call money. What happens to his shares?
33. A company forfeits 2,000 shares for non-payment of allotment money. Pass journal entries.
34. A company issues debentures at a discount of 10% but redeems them at premium of 5%. Calculate the actual amount raised and the redemption cost.
35. A company purchases its own debentures from the open market at a discount. How is this accounted for?

8. Financial Ratios & Interpretation

36. A company's current ratio is 3:1, but it still struggles with short-term payments. What could be the reason?
37. The interest coverage ratio falls drastically. What does this indicate?
38. The firm has a high return on capital employed but a low net profit margin. What does this indicate?
39. A company's inventory turnover ratio decreases, while sales remain constant. What does this indicate?
40. The firm's quick ratio is below 1. Is this a sign of liquidity issues ?

📚✨ Join Our Exclusive Study Groups for Class 12 & CUET Preparation! ✨📚

Looking for top-quality study material, sample papers, and last-minute revision notes? You're in the right place! Join now and get FREE access to everything you need for Class 12 & CUET exams!

🎯📌 Class 12 Study Group – Join Now

🚀 Boost Your Board Exam Prep with:

- ✓📖 Free Study Material for Commerce & More Subjects
- ✓📚 Premium Books (FREE) – Oswal, Educart, Arihant & More
- ✓📄 CBSE Notes, PYQs & Mock Tests
- ✓📋 Last-Minute Revision Guides & Crash Courses
- ✓📌 Covers Commerce, Science, Arts, and every other subject of class 12th

🎯📌 CUET Study Group – Join Now

🎯 Ace Your CUET Exam with:

- ✓📖 NTA Study Material & Free Resources
- ✓📚 Premium CUET Books (FREE) – Oswal, Educart & More
- ✓📄 Sample Papers, PYQs & Mock Tests
- ✓📋 Important Notes, Strategy Guides & Exam Tips
- ✓📌 Covers All CUET Subjects & Sections

💡 What You'll Find in Our Groups:

- 📁📄 Subject-Wise Notes & Study Guides
- 📁📄 Sample Papers & PYQs (Previous Year Question Papers)
- 📁📄 Mock Tests & Last-Minute Revision PDFs
- 📁📚 FREE Premium Books for Better Preparation
- 🚀 Stay ahead of the competition with expert guidance and the best resources – all for FREE!

🚀 Why Join?

- ✓📖 Free Study Material for Class 10, 12, CA, CUET & More!
- ✓📚 Premium Books & Notes (FREE) – Oswal, Educart, Arihant & More
- ✓📄 Sample Papers, PYQs & Mock Tests
- ✓📋 Last-Minute Revision Guides & Strategy Notes
- ✓🎯 Daily MCQ Practice, Exam Tips & Updates

